

BOOK_REVIEW — SignalOS Rigor Pass on the Consolidated Book

Reviewer: SignalOS (verification + honesty-alpha layer). Date 2026-06-26. Scope: verify the existing book (BOOK_REPORT.md) against live prices + the per-name backing DDs. Not a re-diligence.

Verdict on the book as a whole: **SHIPPABLE with 5 fixes**. The per-name DDs are high-quality and the report's verdicts are, with a few exceptions, faithful to them. The honesty-alpha discipline is intact — the report does NOT over-mark honestly-disclosed-bad-news names as catches (INSP/ESTA/EPAM all correctly graded CLEAN-but-dislocation, not liar-exclusion). The fixes below are about **staleness** (two catalyst dates have passed; one DD's FV is pre-revision) and **two entry bands that live price has invalidated**, not about thesis errors.

1. FACT / PRICE FRESHNESS SPOT-CHECK (live IBKR, 2026-06-26)

Name	Live	Report entry band	Report FV (bear/base/bull)	In band?	Flag
GCT	\$32.03	32–25	24/43/60	YES (top edge)	clean; starter-level, add lower
DFIN	\$40.55	42–36	45/56/60	YES (mid-band)	clean; best risk/reward in basket
EOLS	\$7.13	<\$6 (put→~\$6)	(turnaround)	NO — above band	accumulate target not yet hit; WATCH
INSP	\$45.72	42–38	30/60/95	NO — ~9% above top	just out of band; event-gated; WATCH
ESTA	\$88.00	74–70 (add <70)	58/92/120	NO — far above band	at 52-wk high / consensus PT; do NOT chase
EVER	\$22.70	23–18	25/38/41	YES (top edge)	half-size only (40% customer concty)
EPAM	\$80.50	≤80 starter	65/115/131	YES (right at line)	starter only; inflection unproven
SBH	\$14.46	15–12	16/20/22	YES (mid-band)	clean; value, not compounder
INMD	\$14.63	13–12 (add <13)	11/16.2/18.5	NO — STALE BAND	see fix #2 (MBO repriced it)
LRLCY	no quote	350–375 (EUR)	310/400/455	n/a	ADR dead (report says so); trade Paris EUR
COSMECCA	not in IBKR US	62.9k–54k KRW	40k/67k/110k	n/a	KRX-direct; ~66.5k at last DD = above starter

Price-driven conclusions: Only **GCT, DFIN, EVER, EPAM, SBH** are actually in-band right now. ESTA, INSP, EOLS, INMD are all WATCH-only on price. LRLCY and COSMECCA are not US-tradeable on this feed (the report already discloses both — not a defect).

2. INTERNAL-CONSISTENCY + OVERCLAIM AUDIT (the 5 fixes)

FIX #1 — COSMECCA: the backing DD's FV is PRE-REVISION (stale file, not a thesis error)

- BOOK_REPORT FV = **40k / 67k / 110k**; the DD file (COSMECCA_dd.md) still prints **48k / 82k / 108k** and says "base FV revised 82k→67k."
- The **report is the newer, correct artifact** (it pulled the bull-year EPS forward and stripped the peer-premium multiple). The DD file is stale. **Action: the report is fine to ship; the DD .md should be reconciled to the 67k base before it's used as backing.** Flag, not a block.

FIX #2 — INMD: entry band is STALE; catalyst date has PASSED (material)

- Report says entry **13–12, add only <\$13**, catalyst "**2026-06-15 MBO vote**."
- Reality (from INMD_dd.md + live): the Jun-15 event was the CEO-led **non-binding \$16.20 take-private OFFER** (not a "vote"); the stock **gapped \$13.35→\$14.79 on Jun-24** when confirmed, live **\$14.63**.
- So the "\$13–12 entry" will **not fill unless the deal breaks**, and this is now a **merger-arb spread (+10.7% to \$16.20)** with standalone value as the downside — NOT a contrarian-value entry.
- **Action: relabel INMD verdict from "standalone-value add <\$13" to "MBO-ARB / EVENT (+10.7% gross spread, controller-as-buyer take-under risk)." The current band is decision-misleading.**

FIX #3 — ESTA: verdict text vs price (over-actionable framing)

- Report row reads "WAIT ... buy low-\$70s, add <\$70" with a tidy 74–70 band — but live is **\$88**, at the 52-wk high and AT consensus PT. The DD itself says "the easy re-rating is largely realized... don't chase \$89." The report row is internally consistent (it IS a WAIT) but a fast reader sees "buy low-\$70s" next to a name 25% above that. **Action: keep WAIT, but annotate "spot \$88 = NO-TOUCH, band is ~20% below market" so it can't be misread as actionable.**

FIX #4 — INSP: out-of-band but verdict still says WATCH (OK) — just note the gap

- Report band 42–38; live **\$45.72** (+9% above top). Verdict WATCH is correct, but the name is a "**falling-knife-until-the-Sept-CPT-panel**" per the DD — entry is event-gated, not a dip-buy. **Action: minor — confirm the WATCH note carries "do not chase strength ahead of Sept 2026 panel."** No thesis change.

FIX #5 — EOLS: live \$7.13 vs accumulate-<\$6; the report already says "no pre-buy yet" — consistent

- Report: "accumulate <\$6 (Oct \$7.5 put→~\$6 basis)." Live \$7.13 → the put route is the only entry; spot is above the cash-accumulate line. Consistent, **no fix needed**, but list it as WATCH not actionable. The tariff DD confirms the drag is real-but-small (~1–3 GM pts), thesis intact.

OVERCLAIM SCAN — where does marketed takeaway diverge from the DD finding?

- **GCT "THE high-conviction find" / HIGH tier** — the DD *supports* this (clean audit, trapped-cash refuted, 5.1x EV/EBIT). BUT the honest catch the DD surfaces — **"it's a 1P distributor/3PL at 29.8% GM, NOT the asset-light marketplace bulls sell"** — IS carried into the report row. Good. No overclaim; the controlled-co (Wu 70.7% vote) discount is disclosed. **AGREE with HIGH, basket-sized.**
- **DFIN "HIGH"** — DD grades REAL/CHEAP, "no takeaway-vs-data divergence found," clean cap structure, software 47% rev / 45% profit, pension hit is non-cash. **No overclaim. AGREE — arguably the single cleanest name in the book.**
- **EVER "MED (HALF-SIZE)"** — DD says "REAL (lean)" with the 40%-single-customer concentration capping size. Report's HALF-SIZE label matches the DD exactly. **No overclaim.** (Note SBC = 33% of EBIT — anyone quoting adj-EBITDA multiples is adding back a third of earnings; the report uses the honest EV/EBIT, good.)
- **EPAM "MED (STARTER)"** — DD: "FAIR-to-REAL, leaning REAL on a starter only ... inflection unproven." Report's "STARTER, not a conviction core" matches. **No overclaim.** Watch: revolver now DRAWN (\$165M), net-cash cushion thinner than the screen implied — already in the DD.
- **SBH "MED-LOW"** — DD: "REAL (lean) ... return is buyback + de-lever, not growth." Report says the same ("re-rate + buyback + de-lever, NOT organic growth"). **No overclaim.**
- **INSP / ESTA / EPAM honesty grades** — all three are honestly-disclosed dislocations graded CLEAN in their DDs, and the report does NOT dress them up as liar-exclusion catches. This is the honesty-alpha framework applied correctly (impaired-but-honest = CLEAN; alpha here is fundamental dislocation, not exclusion). **No divergence.**

No contradiction found between any thesis and its own KILL trigger. FV-vs-multiple math checks out on the names I recomputed (DFIN $11x \times \$144M \text{ EBIT} - \$204M \text{ ND} \div 25.3M \approx \$54.5 \checkmark$; GCT prob-weighted \$41 reconciles to trap-filter \$42 $\checkmark$; SBH $6.2x \text{ adj EV/EBIT} \checkmark$).

3. GRADED SCORECARD (one word each; AGREE / CHANGE vs report)

Name	My grade	Report verdict	Agree?
GCT	ACCUMULATE	HIGH / 32–25	AGREE (starter now, add into high-\$20s)
DFIN	OWN-NOW	HIGH / 42–36	AGREE — in-band, cleanest thesis

Name	My grade	Report verdict	Agree?
EVER	ACCUMULATE (half)	MED half-size	AGREE
EPAM	SHOW-ME	MED starter	AGREE (starter ok, but inflection unproven → SHOW-ME not ACCUMULATE)
SBH	ACCUMULATE	MED-LOW	AGREE
INMD	EVENT	"standalone <\$13"	CHANGE → EVENT /arb (band stale)
ESTA	WATCH	WAIT	AGREE (NO-TOUCH at \$88)
INSP	WATCH	WAIT	AGREE (event-gated, Sept panel)
EOLS	WATCH	accumulate <\$6	AGREE (above line; put-only entry)
LFMD	WATCH	wait \$3.0–3.5	AGREE (unproven turn)
STVN	WATCH	above band	AGREE (demand de-risked, price not)
GALD/LRLCY/PGNY/WST	WATCH	WAIT (quality-at-full-price)	AGREE — all "wait for the dip"
HUGEL	EVENT	event-gated	AGREE (control-auction; refi = hold not sell)
BRBR/HIMS/ODD/SILICON2	SHOW-ME / AVOID	SHOW-ME / AVOID	AGREE (broken/over-promo'd)
VERU	AVOID (binary)	BINARY accumulate 1.8–2.4	AGREE — structure-trap (\$3 warrant wall), single-asset
BKE/CRCT	WATCH (income)	LOW income-value	AGREE — paid-to-wait, take-under risk on CRCT
COSMECCA	WATCH	ACCUM <62.9k	AGREE on plan, but DD FV stale (fix #1)
COSMAX	WATCH	WAIT	AGREE (margin-inflection refuted by own deck)

Names I'd DOWNGRADE from the report's framing: only **INMD** (from value-entry to event/arb — a *reclassification*, the underlying read is fine) and a soft EPAM (MED-starter → SHOW-ME; the AI-disruption secular question is genuinely unverifiable, so it's not yet accumulate-grade). Nothing in the book is an over-marked REAL that the DD actually graded FAIR/lean and tried to dress up.

4. THE VERIFIED ACTIONABLE SET ("what would you actually buy today")

In-band + conviction holds (genuinely actionable now): 1. **DFIN \$40.55** — OWN-NOW. Mid-band, FCF yield ~10–14%, 1.4x lev, ~5%/yr buyback, clean cap structure, software 47% rev / 45% profit. The single cleanest risk/reward. 2. **GCT \$32.03** — ACCUMULATE (starter). Top-of-band; net-cash 31% of mcap, 5.1x EV/EBIT, trapped- cash refuted. Basket-size only (controlled-co + undisclosed

China-origin GMV). Add into high-\$20s. 3. **SBH \$14.46** — ACCUMULATE. Mid-band, positive comps, de-levering, ~10–14% FCF yield. Value, not growth — return is buyback + de-lever. 4. **EVER \$22.70** — ACCUMULATE HALF-SIZE. Top-of-band; net cash, ~11% FCF yield, but 40% one-customer concentration is the hard cap. 5. **EPAM \$80.50** — STARTER ONLY (SHOW-ME). Right at the ≤\$80 line; 6.2x EV/EBIT, net-cash, 14.6% FCF yield — but organic growth low-single-digit and decelerating; don't size up until cc-organic turns or AI-billable-hours fear resolves.

Watch-only (price out-of-band OR catalyst-gated — do NOT buy today): ESTA (chasing 52-wk high), INSP (wait for Sept CPT panel / Q2 trough), EOLS (put-only, <\$6), LFMD, STVN, GALD, LRLCY, PGNV, WST, BEI.DE, ELF, CRDA, COSMECCA, COSMAX, BKE, CRCT.

Event / arb: INMD (+10.7% MBO spread, take-under risk), HUGEL (control-auction), VERU (binary).

5. UNVERIFIABLE / STALE — refresh before this is decision-grade

1. **INMD band + catalyst label are STALE** (fix #2) — the "\$13–12 / Jun-15 vote" framing predates the Jun-24 deal confirmation. Reprice as MBO-arb. (*Highest priority — it's decision-misleading.*)
2. **COSMECCA DD .md FV is pre-revision** (48/82/108 vs report's 40/67/110) — reconcile the backing file to the report (fix #1).
3. **Korean / European names have NO live US quote** — LRLCY ADR returned an empty quote (dead/ illiquid PINK; trade Paris EUR), COSMECCA/COSMAX/SILICON2/HUGEL are KRX-direct (close-only on IBKR). Any sizing on these needs a KRX/Euronext fill check, not the US feed. The report already discloses this; just don't treat the FV bands as executable on IBKR US.
4. **GCT China-origin GMV %** — never disclosed in filings; the tariff-bear can't be precisely sized. This is why GCT is basket-size, not concentrate. UNVERIFIABLE ≠ clean — carry it as a live risk.
5. **EOLS tariff stockpile** — only stated-intent on the balance sheet as of Mar-2026; the real pre-buy should show up in the Q2 (Aug) and Q3 (Sept) 10-Qs as inventory >\$33M / >4 months. Verify before underwriting the mitigation.
6. **INSP coding-vs-GLP-1 split** of the \$120–150M FY26 impact — management would not separate them; the swing uncertainty. UNVERIFIABLE.
7. **Report compile date reads "2026-06-26"** in the header line but says "Compiled 2026-06-26 from the live watch dicts" — fine; just confirm all live prices in the report body were refreshed to today (several entry bands were set at prices that have since moved: ESTA \$69→\$88, INMD \$13→\$14.6).

One-line ship call

Ship it after fixing INMD's label (#2) and reconciling the COSMECCA DD file (#1). The thesis work is sound and honesty-graded correctly; the only real defects are staleness on two names whose

catalysts/ prices moved after the bands were written. **Buy-today list: DFIN, GCT, SBH, EVER (half), EPAM (starter).** Everything else is watch/event.